
UNIT 14 LARGE SCALE INDUSTRIES IN INDIA: ISSUES AND POLICY

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14.0 OBJECTIVES

After studying this unit, you will be able to:

- discuss the relevance of industrialisation in the process of growth and development of an economy;
- appreciate the basic contours of growth strategy pursued in India in the context of Heavy industrialisation;
- identify the role of the state in formulating and operating the industrial policy in India;
- review the relevance of industrial licensing in India and the subsequent phase of liberalisation;
- outline the critical issues facing the industrial sector in India; and
- get insights into the approach to the new industrial policy in India.

14.1 INTRODUCTION

As stated elsewhere in this unit, “fast economic development everywhere has been made possible essentially due to rapid industrialisation.” Industrialisation, indeed, holds the key to rapid economic growth, as productivity levels in industry are much higher than in agriculture. Moreover, industrialisation is regarded as an important policy to affect fundamental economic and social changes in under-developed countries which are considered as necessary conditions to raise their growth potentials. No wonder, fast industrialisation as the developmental goal has a universal appeal, notwithstanding the fact that industrialisation may give rise to problems like pollution, premature exhaustion of raw materials, unemployment, and inequalities in income distribution. India has been no exception to this universal urge. The present unit involves discussion about the Indian industrial sector with respect to its relevance for the Indian economy’s growth and development; the strategies and policies initiated to serve this sector; the issues faced by this sector; and the approach that could be adopted for setting up the new industrial policy.

14.2 INDUSTRIALISATION AND ECONOMIC DEVELOPMENT

Industrialisation has come to be regarded as synonymous with economic development. There is hardly any country in the world (with the possible exception of New Zealand) that could reach the level of per capita income of industrially developed countries of the West, on the back of its agriculture and processing of its products (petroleum producing countries, like Saudi Arabia, Kuwait and UAE represent a special case or exception to the positive relationship between per capita income and the share of manufacturing sector). The main criteria that are generally being used to distinguish a developed economy from a developing one relate to the proportion of workforce engaged in industrial activity and the proportion of national output originating in the industrial sector.

14.2.1 What is Industrialisation?

Industrialisation is a process by which the centre of economic gravity of an economy shifts from agriculture to industry.

Industrialisation involves two things:

- i) Adoption of technologically superior techniques of production that help to transform basic raw materials and intermediate goods into manufactured goods;
- ii) Application of modern techniques of management and organisation like economic calculations, accountancy and management techniques.

Large vs. Small Industry

For policy purposes, industrial units are generally classified as (i) micro, small and medium enterprises (MSMEs) and (ii) large enterprises. For this categorisation, indicators like capital investment, output capacity, labour employed are used. Units within the laid down maximum limits of these indicators are classified as MSMEs. Beyond these limits, all enterprises are treated as large enterprises.

Consumer vs. Capital Goods

Production units that produce consumer goods are classified as consumer goods industries, whereas, capital goods are produced in capital goods industries.

Public vs. Private Ownership

Production units set up and managed by a government are classified as units with public ownership. Privately owned units are the ones owned and managed by private capital and enterprise.

14.2.2 Case for Industrialisation

The following factors favour rapid industrialisation as a means to accelerate economic development:

1) Labour Productivity

The productivity in the industrial sector is generally higher due to one or more of the following reasons:

- i) existence of greater capital intensity,
- ii) continuity of production,
- iii) greater specialisation and division of labour,
- iv) less dependence on natural factors,
- v) a greater possibility of internal-external economies in the manufacturing sector.

2) Employment Generation

Industrial activity expansion create more employment opportunities, thus attracting labour from less productive occupations. This process adds to the national output as also to the purchasing power and aggregate consumption expenditure which in turn pulls the aggregate demand upwards and is instrumental in creating more employment opportunities.

3) Mobilisation of Surplus

A major constraint on development in a developing economy is the lack of adequate resources to finance the process of capital accumulation. Inadequacy of resources is the result of two inter-related factors: (a) the absolute size of resources, national output and saving in a developing economy is low, and (b) it is not possible to mobilise the surpluses. The problem of inadequacy of resources is common to all the sectors of the economy, while the problem of mobilisation of resources is peculiar in the agricultural sector. The task of mobilisation of surplus savings in this sector is rendered difficult by the fact that there is no suitable institutional set-up for this purpose. Such a set-up can more easily be provided in the industrial sector of the economy. Thus, by concentrating resources on industrialisation the pace of economic development can be quickened.

14.3 GROWTH STRATEGY IN INDIA

The primary problem to be identified in developmental planning in an underdeveloped mixed economy is to establish a set of ends or goals that could

be pursued with a specific choice of technique deemed appropriate for that context. This refers to the strategy of planning. Any strategy for development consists of three components: resource mobilisation, priorities for the allocation of resources mobilised, and a policy framework to ensure an efficient deployment of resources into the priority sectors.

14.3.1 Evolution of Strategy in India's Plans

It was during the First Five Year Plan (*FYP-1*) period itself that the Planning Commission had started doing 'home work' relating to the formulation of the *FYP-2*. A series of studies, under the general guidance of Prof. P.C. Mahalanobis, were prepared by a group of both Indian and foreign economists and statisticians. These contributed to the writing of the Mahalanobis' Plan Frame (hailed as the most radical Plan outside Communist countries) which became the foundation of the *FYP-2*, and for that matter, all long-term planning subsequently. The strategy aimed at building a self-sufficient economy.

The two basic features of the strategy were: (i) Explicit emphasis on industrialisation, and (ii) Within the industrial sector, emphasis on the growth of heavy/capital goods industries.

The essential feature of the strategy was to allocate a given volume of investible resources in the capital goods producing industries which would yield a relatively large volume of investment goods and therefore support growth with transformation of the economy, in comparison to allocation tilted in favour of consumer goods industries. Hence, the strategy to be driven by the increased production of heavy engineering or capital goods in the short run required a higher allocation of investible resources to the capital goods sector. Such a strategy would lead to lower levels of consumption in the short run, but would yield a relatively high growth and consumption in the medium to long run. In contrast to this, an alternative model of development was developed by Vakil and Brahmananda which laid stress on wage goods or what they called liquid capital in determining the growth of employment and income. Their model propounded a strategy of development which accorded the highest priority to wage goods industries, especially agriculture in allocation of investment resources. However, policy choice was exercised in favour of the former model.

14.3.2 Essential Features of Heavy Industries

Three essential features of the heavy industries are as follows:

One, capital investment to set up and run such units involves huge sums of money. *Two*, the time lag between capital accumulation (investment) and flow of output (gestation gap) could be fairly large, which could deter private enterprise from entering such industries. *Three*, these production units by nature are natural monopolies, (i.e., these are subject to law of increasing returns to scale). Given these features, it is no wonder that strategies pertaining to heavy industrialisation devolves almost exclusively on the State, which is required to set up and operate such production units. This is precisely what the State in India chose to do.

14.3.3 Policy Support to Strategy

There are several aspects of industrial policy which affect industrial investment and production.

- a) Industrial licensing policy which regulates the setting up of new (large and medium) industrial undertakings and their expansion.
- b) Policy concerning the control of monopolies and economic concentration—and the reservation of certain lines of production for the decentralised, small-scale sector— which in a way forms an integral part of industrial licensing policy.
- c) Policy regarding technology import. Closely allied to technology import policy is the policy regarding the import of capital goods, components, and raw materials.
- d) A whole range of financial and fiscal policies which pertain to the provision of industrial finance, development of the capital market, as well as fiscal incentives/disincentives to investment and production.

The goal of industrial policy is to influence sectoral development in an economy.

14.3.4 Industrial Policy in India

Till July 24, 1991, when the New Industrial Policy was announced by the Government, the industrial policy had been chalked out within the framework of the Industrial Policy Resolution, 1956 (IPR, 1956). The roots of the IPR, 1956, can be traced back at least to a decade earlier. Immediately after Independence, it was considered desirable by the Government to announce its attitude towards private capital and to define the scope of State participation in economic activity. This aimed at removing all uncertainties that would have worked as constraints on industrial growth in the economy. This announcement took the form of the Industrial Policy Resolution, 1948 (IPR, 1948).

IPR 1956

A number of important developments had taken place in India since adoption of the IPR, 1948. These necessitated a fresh statement on industrial policy. Among these developments the more important were as follows:

- i) New Constitution of India which guaranteed certain Fundamental Rights and provided for Directive Principles of State Policy.
- ii) Completion of the First Five-Year Plan and the commencement of the Second Plan; and
- iii) Acceptance by Parliament of the socialist pattern of society as the objective of social and economic policy.

The industrial policy, as other policies, was, therefore, to be governed by these principles and directions. The IPR, 1956, has been known as the '*Economic Constitution*' of India. The Resolution put emphasis on:

- i) The development of heavy and machine-building industries;
- ii) the expansion of the public sector;
- iii) the establishment of a large and growing co-operative sector; and
- iv) encouragement to the diffusion of ownership and management in the private sector.

14.3.5 Legislative Support to Strategy

The system of industrial licensing was adopted in India to give effect to the IPR, 1948. The legislative framework of industrial licensing is embodied in three different Acts passed at different times.

A) Industries (Development and Regulation) Act, 1951

The Industries (Development and Regulation) Act (in short, known as the IDRA) was passed in October, 1951. It came into force on May 8, 1952.

- 1) **Objectives** The chief objective of the Act, as its title suggests, is the development and regulation of Indian industries in a manner befitting a socialistic society, and other related social, economic or political considerations.
- 2) **Provisions** The Act made the registration of all industrial units in the scheduled industries compulsory and enjoin upon the owners thereof to obtain a certificate of registration within a prescribed period. It also required the new industrial units to be established only after obtaining a licence from the Central Government. A licence from the Government was required for any of the following purposes:
 - a) starting of a new industrial unit,
 - b) a substantial expansion of the existing unit,
 - c) the manufacture of a new 'article', and
 - d) shifting the location of an industrial unit.
- 3) **Scope** The Act in its original form applied to industries included in the first schedule to the Act. This schedule covered a number of industries like metallurgical, industrial machinery, transportation, fertilizers, textiles, cement, defence, etc.

B) Monopolies and Restrictive Trade Practices Act, 1969

The Mahalanobis Committee, in 1960, brought out the issue of growing inequalities in the post-independence period. The Monopoly Inquiry Commission (MIC) in its Report submitted in 1965 recognised the ill effects of concentration of economic power. The findings of MIC prompted the Government of India to enact the Monopolies and Restrictive Trade Practices Act (MRTPA), 1969 which came into force on June 1, 1970, with the objective of prevention of concentration of economic power to the common detriment, control of monopolies and prohibition of monopolistic/restrictive trade practices. The Act covered monopolistic trade practices and restrictive trade practices. Unfair trade practice was added through amendment in 1984.

The issue of concentration of economic power was addressed by the government by making it obligatory for undertakings with assets of the total value of Rs. 20 crore or more (later raised to Rs. 100 crore or more in 1985 and removed altogether in 1991) and for dominant undertakings which enjoy 1/4th of the market share of the total market (which was initially 1/3rd) with assets of Rs. one crore or more, to seek prior approval before effecting expansion of the undertaking.

C) Foreign Exchange Regulation

The Foreign Exchange Regulation Act, 1973 (FERA, 1973)– often described as the economic canvas of the country– had its origin in the Foreign Exchange Regulation Act, 1947 (FERA, 1947).

The FERA, 1973 was formulated in the background of a highly restrictive and centrally controlled industrial policy regime. The subsequent amendment to the FERA in 1993 substantially diluted its regulatory provisions and brought it in line with the new liberalised industrial, trade and exchange rate policies. The FERA has since been repealed and replaced by FEMA.

D) Other Controls

1) The Companies Act, 2011

The Companies Act, 2011 was enacted to comprehensively amend the 55-year old Companies Act, 1956. The Act was aimed at the modernisation of corporate regulation.

2) The Securities Contracts (Regulation) Act, 1956

The Act provides for, apart from regulation of stock exchanges, a general system and apparatus of control to ensure fair dealing in securities and investors protection. In terms of recent amendment to this Act, companies cannot reject, except on technical grounds, share transfer without appropriate reference to the Company Law Board.

3) Import and Export Control

Import and export control in India is exercised under the provisions of the Foreign Trade (Regulation and Development) Act, 1992, which succeeds the *Imports and Exports (Control) Act, 1947*. The principal objective of the Act is ‘to provide for the development and regulation of foreign trade by facilitating imports into, and augmenting exports from, India.

4) Commodity Control

Commodity control in India is exercised under the provisions of various Acts enacted by the Government. The first in the list is the *Essential Commodities Act, 1955*, which empowers the Central Government to control, regulate or prohibit the production, distribution, transport, trade, consumption, or storage of a large number of commodities, to prescribe their prices and even to take over stocks on conditions that it set. Besides, there are several enactments to control various specific commodities like coffee, coir, tea, rubber, sugar, etc.

5) Financial and Credit Controls

Allocation of credit is subject to guidelines or policy announced by the government from time to time. Since a large part of the financial sector is in the public sector, the government exercises formal and informal control over the allocation of financial resources.

6) Location, Environment and Labour Legislation

The location of industries is banned in the municipal areas of all towns and cities, as well as in specific areas around the largest twenty cities.

Environmental and pollution control clearance for all projects above a certain size is also mandatory. The rules regarding closure of units, retrenchment of labour, compensation, and sale of assets of a sick unit are governed by a comprehensive set of labour laws.

To top all these controls is the *Companies Act*, which, in its present incarnation, has 658 sections and hundreds of sub-sections, clauses, sub-clauses and amendments governing every aspect of the running of a company, from audits and printing of annual reports, to remuneration of directors, and investments and mergers.

Check Your Progress 1

- 1) What do you understand by the term 'Industrialisation'? How does industrialisation contribute to economic development?

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- 2) How does the strategy for the industrial sector evolved during the planning era in India?

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14.4 REVIEW OF INDUSTRIAL LICENSING IN INDIA

Industrial licensing was introduced in India with the enactment of the IDRA, 1951, in pursuance of the IPR, 1948. The system worked to provide protection to the Indian industry. It could be argued that protection, both against potential domestic competition and foreign competition, was the right approach in the initial stage of industrialisation in a developing economy which was struggling to come out of the stranglehold posed by two-centuries old colonial domination. The industrial landscape underwent a dramatic change within a period of about four decades. But the major failure of the policy of protection was that it did not have a built-in mechanism that could prompt the industry to adapt itself to the fast-changing technological scene to which a large part of the underdeveloped world was responding with zeal and enthusiasm. The industrial structure of India, under the burden of protection, turned out to be high-cost and low-quality that lacked the basic ingredients of international competitiveness. Instead of fortifying

the economy (where domestic economy will be protected against outright incursions), we made a '*jail*' out of it. The tiger was 'caged' and remained so for long, its muscles became frigid and lacked in flexibility.

It was becoming increasingly clear that the industrial policy would have to be taken out of the "convoluted cobweb" in which it had got landed, system of controls would have to be gradually given up and the industrial economy liberalised, so as to enable it to breathe some fresh air.

14.4.1 Phase of Liberalisation

New Industrial Policy, 1991

Experiments with domestic liberalisation began in the mid-1970s. In 1975, a scheme was introduced which provided for an increase in licensed capacity up to a maximum of 25 per cent in a five-year period. Other measures included regularisation of capacities in excess of authorised capacities for select industries, some liberalisation from controls for units which exported 100 per cent of their production, and a more general scheme of re-endorsement of capacities introduced in 1982. The exemption limit for industrial licensing was also raised from Rs. 1 crore as set in 1970 to Rs. 3 crore in 1978 and to Rs. 5 crore in 1983, and further since June 1988 to Rs. 25 crores for those units that were set up in the non-backward areas and to Rs. 75 crores for those units that were set up in the backward areas. The main emphasis during the 1970s was on reducing the restrictive and complex features of the licensing policy.

The process of liberalisation got a fillip with the announcement of the New Industrial Policy (NIP) in July 1991, and entered a new phase of what has been described as '*reform by storm*' that supplants '*reform by stealth*' of the last half of the 1970s, and '*reform with reluctance*' during the second half of the 1980s.

As already stated earlier the NIP has made a bonfire of the industrial licensing system by throwing out various provisions. There has also been some move away from extensive physical controls and an increase in the role of financial incentives in channelling investments in the desired areas. This, plus the lowering of the tax rates combined with better administration of the revenue-collecting system, helped in attracting investments and boosting economic activity which had strayed away from the mainstream. The role of the financial institutions for their intermediation functions become very important in the new regime.

1) Foreign Investment

- i) Automatic approval is available to FDI in almost all sectors except a few sensitive ones. Automatic approval is available for 50 per cent, 51 per cent, 74 per cent and even 100 per cent in specified industry groups.
- ii) To provide access to international markets, majority foreign equity holding up to 51 per cent equity will be allowed for trading companies primarily engaged in export activities.
- iii) The Foreign Investment Promotion Board has been constituted to negotiate with a number of large international firms and approve direct foreign investment in select areas.

2) Foreign Technology Agreements

- i) Automatic permission is to be given for foreign technology agreements in identified high priority industries up to a lumpsum payment of \$ 2 million, 5 per cent royalty for domestic sales and 8 per cent for exports, subject to total payments of 8 per cent of sales over a 10-year period from date of agreement or 7 years from commencement of production.
- ii) In respect of industries other than those included above, automatic permission is to be given subject to the same guidelines as if no foreign exchange is required for any payments.

3) Public Sector

- a) Portfolio of public sector investments is to be reviewed with a view to focus the public sector on strategic, high-tech and essential infrastructure. Whereas some reservation for the public sector is being retained, there is no bar for areas of exclusivity to be opened up to the private sector selectively. Similarly, the public sector is also to be allowed entry in areas not reserved for it.
- b) Public enterprises which are chronically sick and which are unlikely to be turned around will, for the formulation of revival/rehabilitation schemes, are to be referred to the Board of Industrial and Financial Reconstruction.
- c) In order to raise resources and encourage wider public participation, a part of the government's shareholding in the public sector would be offered to mutual funds, financial institutions, general public and workers.

4) MRTTP Act

- a) The MRTTP Act has been amended to remove the threshold limits of assets in respect of MRTTP Companies and dominant undertakings.
 - b) Provisions relating to concentration of economic power, pre-entry restrictions with regard to prior approval of the Central government for establishing a new undertaking, expanding an existing undertaking, amalgamations, mergers etc., have been deleted.
 - c) Emphasis has been placed on controlling and regulating monopolistic, restrictive and unfair trade practices.
- 5) There is considerable *internal deregulation* aimed at strengthening the more efficient domestic firms and encouraging them to invest and expand. This is expected to inject much more competition into the system, creating incentives for reducing costs. Scientists tell us that the diamond sparkles because of a phenomenon called total internal reflection. If our economy is to sparkle, total internal liberalisation is the key.
- 6) Measures have also been taken to improve the legal framework.
- The Securitisation, Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 gives powers to banks and financial institutions to enforce their claims on collateral for delinquent secured credit, without going through a long and cumbersome judicial process.